

Refunds, Returns, Credits & Cancellations Policy

Policy ID: FIN-REF-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Customer Finance Operations

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Establish consistent authorization, evidence, accounting, and monitoring requirements for customer refunds, returns, credits, and cancellations.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Scope

- Applies to refunds, partial refunds, returns, customer credits, cancellations, chargebacks, and goodwill adjustments.

2. Authorization matrix

≤ **■5,000**. Customer-service approval within standard return rules.

■5,001–■25,000. Team-lead approval.

■25,001–■1,00,000. Finance approval.

>**■1,00,000**. Finance Director approval and documented justification.

Any suspected fraud or policy abuse. Immediate escalation to Risk/Fraud team regardless of amount.

3. Evidence

- Original order/reference, reason code, customer/request evidence, amount, approving employee, payment method, and timestamp.
- Refunds must be traceable to the original transaction wherever technically possible.

4. Processing controls

- Refund destination must be validated against the original payment or an approved exception process.
- Manual refunds require dual review.
- Refunds must not be processed to an employee-controlled account without documented authorization and independent review.

5. Monitoring indicators

- High refund rate by product, customer, city, employee, or payment method.
- Multiple refunds shortly after purchase.
- Refunds concentrated immediately before period close.
- Round-number or unusually large refunds.

- Repeated refunds against related customer accounts.

6. Accounting and analytics

- Refunds and credits must be distinguished from gross sales in management reporting.
- If the source dataset lacks refund/reversal amounts, the analytics platform must not invent them; it should explicitly state the limitation.

7. RAG retrieval anchors

- Refund approval
- Return authorization
- Manual refund
- Refund fraud indicator
- Chargeback
- Customer credit
- Refund threshold

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